

23STCV06920 23STCV06920

County: los-angeles

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Case Number: 23STCV06920 Hearing Date: July 8, 2026 Dept: 1

Final

Approval of Class Action Settlement

Department

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Flores v. Leo's Motel, et al.

Case Number: 23STCV06920

Hearing: July 8, 2026

TENTATIVE

RULING

The

Court is inclined to GRANT final approval, contingent on the parties addressing the following concerns:

a.

Notice: The Court has concerns about the adequacy of the notice given in light of the report that more than 40% of the 170 Class Members did not receive notice of the settlement. According to Plaintiff's counsel, there are 170 Class Members. (Castillejos Decl., ¶5.) Simpluris mailed the Notice Packet to 119 Class Members with valid mailing addresses. (Id. at ¶7.) This means that Notice was not mailed out to 30% of the Class. Further, 12 Notice Packets were determined to be undeliverable because no updated address was available. (Id. at ¶9.) This means that

70 Class Members out of 170 did not receive Notice, which is over 40%. The Court orders the parties to provide a supplemental declaration explaining why the notice given was the best practicable notice under the circumstances and, if not, what additional measures could be taken to reach a larger percentage of Class Members.

b.

Proof of Occupancy: According to counsel, Class members who do not receive the Notice Packet, but believe they are eligible to participate in the Settlement will need to provide proof that they stayed at the Hotel for 21 to 30 consecutive days during the Class period. One method of proof is to provide a declaration under penalty of perjury that the Class member stayed at the Hotel for 21 to 30 consecutive days during the Class period along with another form of proof that he or she stayed at the hotel for at least one day. (Singh Decl. ISO Preliminary Approval, ¶16.) The Court needs a supplemental declaration disclosing whether the administrator received any such declarations or alternate proof of occupancy and, if so, what conclusions were reached about the class members' ability to participate in the settlement.

c.

Average Class Payment: The Court needs a supplemental declaration disclosing the average class payment and the projected highest and lowest class payments.

d.

Attorneys' Fees: Plaintiff's Counsel seeks a 35-percent fee award but had not provided any justification for an award greater than the one-third recovery usually granted by the Court. If Plaintiff will pursue the 35-percent award, counsel must submit a supplemental declaration justifying this higher recovery.

e.

Incentive Award: Plaintiff Flores does not provide information with specificity in the form of quantification of time and effort expended on the litigation, and in the form of reasoned explanation of any financial or other risks he incurred. Plaintiff Flores is ordered to provide a declaration attesting to why he or she should be entitled to an enhancement award in the proposed amount.

Subject to the Court need for

additional information, the Court is inclined to GRANT final approval and award the following: (1) \$166,666.67 for attorney fees to Class Counsel; (2) \$15,000.00 for attorney costs to Class Counsel; (3) enhancement payment of \$5,000 to the class representative; and (4) \$10,000 for settlement administration costs to Simpluris, Inc. Plaintiff's Requests for Judicial Notice are denied as irrelevant.

All supplemental papers are due to be filed by _____. The Court sets a non-appearance case review for _____ to review the supplemental papers, which are due at least five court days beforehand.

Plaintiff's counsel shall file a proposed Order and Judgment, consistent with this ruling containing all requisite terms, including the class definition, release language, and a statement that no class members requested exclusion. The Court orders class counsel to file a final report summarizing all distributions made pursuant to the approved settlement, supported by declaration. The Court will set a non-appearance date on _____ for review of the final report, which is due to be filed at least five court days beforehand.

BACKGROUND

This is a consumer class action regarding a practice called the "28 Day Shuffle". Plaintiff brings this action against the owners and operators of the residential hotel called the "Leo's Motel" (the "Hotel") (collectively, "Defendants"[1]), located in Lomita, California.

On March 28, 2023, Plaintiff, on behalf of himself and all others similarly situated, filed the Complaint against Defendants to initiate the Action. The Complaint asserted the following four causes of action: (1) violation of California Civil Code section 1940.1; (2) violation of California Civil Code section 52.1; (3) negligence; and (4) violation of California Unfair Competition Law (Cal. Bus. & Prof. Code §§ 17200, et seq.). On May 4, 2023, Plaintiff filed an Amendment to Complaint to correct the name of

defendant 1879 Lomita L.L.C.

Plaintiff alleges that

Defendants required guests, including Plaintiff, to move out or check out of the Hotel prior to the 30th consecutive day of occupancy in order to keep them in transient occupancy status, the “28-day shuffle.” By prohibiting guests from occupying a unit at the Hotel for more than 30 consecutive days in violation of California Civil Code 1940.1(a), Defendants sought to deprive guests of protections and rights they would have been afforded had they not been unlawfully forced to vacate the hotel. In particular, Defendants could avoid the traditional landlord-tenant relationship with guests and cause the eviction of tenants without unlawful detainer proceedings. The same acts, omissions, and course of conduct give rise to Plaintiff’s causes of action for violation of California Civil Code section 52.1, negligence, and violation of the California Unfair Competition Law.

Counsel represents that the Parties engaged in months-long settlement communications directly among counsel and participated in two mediation sessions with Hon. Thierry P. Colaw (Ret.), occurring on October 9, 2024 and then on January 23, 2025.

At the conclusion of the second mediation session, Hon. Thierry P. Colaw (Ret.) tendered a Mediator’s Proposal, which the Parties ultimately accepted. A fully executed copy of the resulting Settlement Agreement was filed with the Court on April 24, 2025. (See Stipulation of Settlement.)

Preliminary Approval was granted on October 29, 2025. An Amended Preliminary Approval Order was entered on March 4, 2026. Notice was given to the Class Members as ordered. (See Declaration of Orlando Castillejos (“Castillejos Decl.”).)

Now before the Court is the motion for final approval of the settlement agreement.

CLASS

DEFINITION AND ESSENTIAL MONETARY TERMS OF SETTLEMENT AGREEMENT

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“Class” means all persons who resided at the Bonnie Lee Inn, a residential hotel located “Class”

means all persons who stayed at the hotel located at 1879 Lomita Boulevard, Lomita, California 90717, commonly known as “Leo’s Motel,” and were required to

move out, or check out and re-register, after 21 or more consecutive days of occupancy at any time during the Class Period.

Excluded from the Class are (a) Defendants and all persons who are employees, directors, officers, principals, legal representatives, successors, assigns, subsidiaries, and affiliates of Defendants; (b) any entity in which Defendants have a controlling interest; (c) the Judge(s) assigned to the Action; and (d) any members of the immediate families of individuals in the excluded categories. (Settlement Agreement, ¶4.)

o

“Class Period” means the time period from March 28, 2019 up to and including the date of the entry of the Preliminary Approval Order. (¶7.)

o

“Qualifying Stay” means a stay of between 21 and 30 consecutive days at the Leo's Motel during the Class period. (¶23)

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There are 170 Class Members. (Castillejos Decl., ¶5.)

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The Gross Settlement Amount (GSA) is \$500,000, non-reversionary. (¶¶15, 44.)

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The Net Settlement Amount (Net) (\$300,000) is the GSA minus the following:

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Up to \$175,000 (35%) for attorney fees (¶44.a);

o

Up to \$12,000 for litigation costs (Ibid.);

o

Up to \$5,000 for a
Service Payment to the Named Plaintiff (¶44.b); and

o

Up to \$10,000 for
settlement administration costs (¶44.c; Singh Decl., ¶8).

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Funding of Settlement: the Gross Settlement
Amount shall be paid on behalf Defendants within thirty (30) calendar days
after the entry of the Preliminary Approval Order. (¶43.)

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No claim form is required.
(¶60)

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Individual

Settlement Payment Calculation: Each Class Member shall receive payment of a pro rata share of the
Net Settlement Amount. The pro rata
share of each Class Member will be calculated by (1) dividing the Net Settlement
Amount by the total number of Qualifying Stays reflected in Defendants'
business records and (2) then multiplying that amount by the number of
Qualifying Stays of the respective Class Member. Defendants' business records identified
lacked sufficient information to calculate the total Qualifying Stays for
certain Class members. In light of this situation and in the interest of
equity, in calculating these Class members' pro rata share of the Net
Settlement Amount, each will be deemed to have one Qualifying Stay. (¶45.)

o Class members who do not receive the
Notice Packet, but believe they are eligible to participate in the Settlement
will need to provide proof that they stayed at the Hotel for 21 to 30
consecutive days during the Class period.
One method of proof is to provide a declaration under penalty of perjury
that the Class member stayed at the Hotel for 21 to 30 consecutive days during
the Class period along with another form of proof that he or she stayed at the
hotel for at least one day. (Singh Decl.
ISO Preliminary Approval, ¶6)

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Change of Business

Practice. As further consideration and a material term of this Settlement, Defendants agree that they will comply with California Civil Code section 1940.1. In this regard, Defendants will provide Class Counsel a declaration confirming that the 21-day check-out policy is no longer applicable at the Leo's Motel along with a copy of an updated written policy applicable at the hotel that removes the 21-day check-out policy. (¶46)

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Uncashed

Settlement Checks: If a settlement check remains uncashed one hundred and eighty (180) calendar days after issuance, the check will be void and the funds will be paid to Habitat for Humanity of Greater Los Angeles, a mutually agreeable Cy Pres organization serving low-income or unhoused people in the greater Los Angeles County area. (¶65.d.)

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Habitat for Humanity Los Angeles County (<https://www.habitatla.org>) (Singh Decl., ¶7.)

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Counsel and the parties represent that they do not have any interest or involvement in the governance or management of the Cy Pres recipient. (Singh Decl., ¶7 and see generally Exhibits E-G thereto for the Declarations of Ramesh N. Patel, Arvinda R. Patel, Gabriel Baldwin, and Cecilia Leineweber; Flores Decl., ¶2.)

ANALYSIS OF SETTLEMENT AGREEMENT

A.

Does a presumption of fairness exist?

The Court preliminarily found in its Orders on October 29, 2025 and March 4, 2026 that the presumption of fairness should be applied. No facts have come to the Court's attention that would alter that preliminary conclusion. Accordingly, the settlement is entitled to a

presumption of fairness as set forth in the preliminary approval order.

B. Is the settlement
fair, adequate, and reasonable?

The settlement was preliminarily found to be
fair, adequate and reasonable. Notice
has now been given to the Class.

Reaction of the class
members to the proposed settlement.

Number of class
members: 170 (Castillejos Decl., ¶5.)

Number of notice
packets mailed: 119 (Id. at ¶7.)

Number of
undeliverable notices: 12 (Id. at
¶9.)

Number of
opt-outs: 0 (Id. at ¶15.)

Number of
objections: 0 (Ibid.)

Number of
participating Settlement Class Members: 170 (Id. at ¶¶5, 15.)

Average
individual Class payment:

The Court finds that the notice was
given as directed and conforms to due process requirements. Given the reactions of the Class Members to
the proposed settlement and for the reasons set for in the Preliminary Approval
order, the settlement is found to be fair, adequate, and reasonable.

C.

Attorney

Fees and Costs

Class Counsel requests an award of \$175,000 (35%) in fees and \$12,000 in costs. (Motion ISO Fees, 10:5-6.) The Settlement Agreement provides for fees up to \$175,000 (35%) and costs up to \$12,000 (Settlement Agreement, ¶44.a); the class was provided notice of the requested awards and none objected. (Castillejos Decl., ¶15 and Exhibit A thereto.)

“Courts recognize two methods for calculating attorney fees in civil class actions: the lodestar/multiplier method and the percentage of recovery method.”

(Wershba at 254.)

Here, class counsel requests attorney fees using the percentage method.

The fee request represents 33% of the gross settlement amount which is the average generally awarded in class actions.

See *In re Consumer Privacy Cases*

(2009) 175 Cal.App.4th 545, 558, fn. 13 (“Empirical studies show that, regardless whether the percentage method or the lodestar method is used, fee awards in class actions average around one-third of the recovery.”).

Counsel has provided the following
lodestar information:

Biller

Rate

Hours

Total

Yashdeep Singh, Esq.

\$850

286.4

\$243,440

Total

286.4

\$243,440

(Singh Decl. ISO Fees, ¶¶8, 14.)

Therefore, counsel has spent 286.4 hours of time on the matter for an aggregate loadstar of \$243,440, which would require a negative multiplier to yield the requested attorney's fees. (Ibid.)

As for costs, class counsel has incurred costs of \$12,866.90. (Singh Decl. ISO Fees, ¶8 and Exhibit 3 thereto.) Class Counsel is requesting \$12,000.00 in costs which is equal to the settlement cap of \$12,000. (Ibid.) The costs include, but are not limited to, mediation (\$9,250), Case Anywhere (\$1,697.53), and filing fees (\$1,492.68). (Ibid.)

Based on the above, the recommendation is to award \$166,666.67 (1/3) for fees and \$12,000 for litigation costs.

D.

Incentive

Award to Class Representative

The Settlement Agreement provides for up to \$5,000 for a Service Payment to the Named Plaintiff. (Settlement Agreement, ¶44.b.)

In connection with the final fairness hearing, the named Plaintiff must submit a declaration attesting to why he or she should be entitled to an enhancement award in the proposed amount. The named Plaintiff must explain why he or she "should be compensated for the expense or risk she has incurred in conferring a benefit on other members of the class." (Clark v. American Residential Services LLC (2009) 175 Cal.App.4th 785, 806.) Trial courts should not sanction enhancement awards of thousands of dollars with "nothing more than pro forma claims as to 'countless' hours expended, 'potential stigma' and 'potential risk.' Significantly more specificity, in the form of quantification of time and

effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiff, is required in order for the trial court to conclude that an enhancement was ‘necessary to induce [the named plaintiff] to participate in the suit’” (Id. at 806-807, italics and ellipsis in original.)

Plaintiff Flores

represents that he has “actively participated, and will continue to actively participate, in the prosecution of this action.” (Declaration of Plaintiff Flores, ¶13.)

Plaintiff Flores does not provide information with specificity in the form of quantification of time and effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiffs. Plaintiff Flores is to provide a declaration attesting to why he or she should be entitled to an enhancement award in the proposed amount.

E.

Claims

Administration Costs

The claims administrator, Simpluris, Inc. requests \$10,000 for the costs of administering the settlement. (Castillejos Decl.,

¶17.) This is equal to the \$10,000 maximum amount estimated in the Settlement Agreement; (Settlement Agreement, ¶44.c); and disclosed in the notice to class members, to which there were no objections. (Castillejos Decl., ¶15 and Exhibit A thereto.)

Based on all the work performed by the

Claims Administrator, the recommendation is to award costs in the requested amount of \$10,000.

[1]

Defendants 1879 Lomita L.L.C. d/b/a Leo’s Motel; Arvinda R.

Patel, as an individual and trustee of Ramesh N. Patel and Arvinda R. Patel

Revocable Living Trust Dated July 14, 2017; Ramesh N. Patel, as an individual

and trustee of Ramesh N. Patel and Arvinda R. Patel Revocable Living Trust

Dated July 14, 2017; and Leo’s Motel, a business entity form unknown

(collectively, “Defendants”).